



we turned debt-free and wiped out our losses. Last year, we wiped out our cumulative losses and declared a dividend for the first time.



One of the more important decisions since you took over was to divest the mass brands portfolio. There were opinions on the perceived low valuation and that it would reduce clout with the trade. How do you view the transaction from a strategic point of view?

I want to make it clear that the part on reducing clout with the trade is not true at all and the noise that came with it was quite overestimated.

On the specific issue of valuation, we ran a very robust diligence process with a view coming through many sources. It was a very fair value for the portfolio and at par. Here is proof of that—just look at our turnover for last year and we are back to where we were [earlier] and with higher margins. The decision to divest that part of the portfolio allows us to have better allocation of resources.

Today, we are playing to our strengths and that includes brand-building, innovation and renovation, a global portfolio, [and] very strong local brands with the right marketing and sales capabilities.



When you look back at the last three years, are there any missed opportunities that come to mind?

I would say white spirits is one, and that's probably [because] we were so busy with whisky, but there are really no excuses. Today, we are investing significantly in Smirnoff (vodka) and tequila, with a clear potential existing in both. While vodka is only 5% of the market, there is visible growth. Ideally, we should have taken an early position here but there is tremendous scope for innovation, and we believe we can get the best out of this opportunity. Whisky is our big business and will continue to see growth. From a headquarters point of view, they are super-excited about the India story. McDowell's No. 1 whisky goes out to more than 20 countries. Globally, some of the trends are most interesting like the large number of people drinking tequila. We could never imagine that in a post-Covid world, tequila would become as big as scotch in North America. **BT**

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SPLITTING THE SPIRITS MARKET

► The popular segment has been losing ground on the back of consumer affluence and willingness to spend ► Dropping margins in the popular segment has led to companies reducing focus

PRICE RANGE

POPULAR
UP TO

₹450

PRESTIGE
AND ABOVE

₹450-1,000

PREMIUM

₹1,000-2,200

LUXURY

₹2,200
AND ABOVE



PRICES AS PER KARNATAKA STATE BEVERAGES CORPORATION FOR 750 ML PACK;
STATE OF KARNATAKA USED AS A SAMPLE
SOURCE TECHNOPAK ANALYSIS

Diageo has just refurbished its innovation centre in Bengaluru's Whitefield. "There is a lot of work to be done. It will be very different once it's up," says Damodaran. The innovation centre, which resembles the lab of a pharmaceuticals major, is where mixes and flavours are finalised. The centre carries out research & development for Diageo's range, creates new products, gets deep into analytics and sensory sciences, works out flavours, handles process R&D, and comes up with special spirits. The centre tries to pin down evolving consumer tastes and handles advocacy, education, and community building.

In 2018, the observation was a big shift in whisky consumption among the youth and the preference for something lighter, sweeter, creamier, and not with a masculine touch. "Across the country, we noticed they wanted easy drinking, and anything that met this expectation was a winner," he says. The answer was bourbon, leading to the launch of Royal Challenge American Pride. Unlike Royal Challenge, a mix of Scotch and whisky from molasses, the bourbon variant has no molasses.

"In the upper prestige segment, it is the fastest growing brand," says Damodaran. The Royal Challenge brand (the brand is easily associated with the RCB Indian Premier League cricket team that the